8.86 + 35.73 or 44.59. Point D's high was 45.38, which is close to the predicted target.

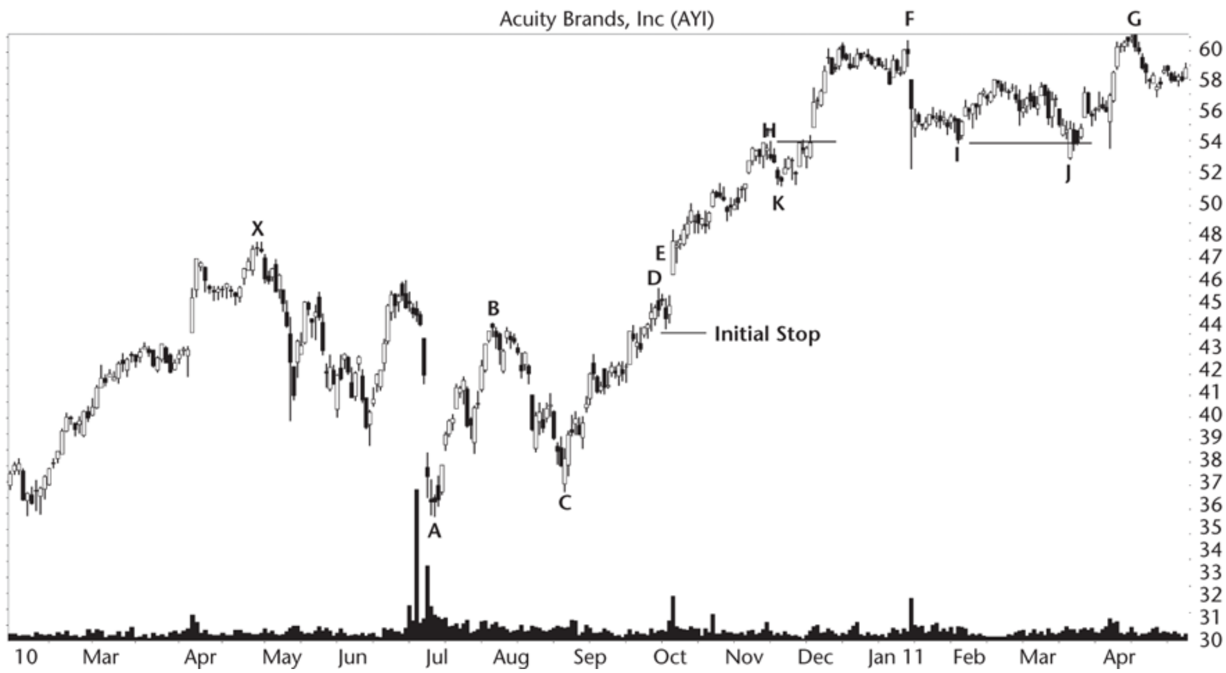

Figure 37.4 George traded this bearish Gartley like a normal chart pattern.

George calculated how long it would take price to rise to D. Using points A (2 July 2010), B (27 July 2010), and C (24 August 2010) as references, he added the 25-day span of AB to C to get 18 September 2010. Point D came close, peaking on September 30. This method was a way to calculate point D, given the ABC turns. The idea depends on the AB=CD pattern working (where leg CD equals AB both in time and price).

However, George doesn't like to short stocks. “Too dangerous. Remember what happened to Joe Campbell?”

Joe had $37,000 in his brokerage and bet a $2 biotech stock would fall further. The next day, the stock surged to $16, wiping out his account and with the brokerage handing him a bill for an additional $106,000.

George decided to trade this Gartley like a normal chart pattern. He measured the height of the Gartley, from X (47.91) to A (34.70) or 13.21. That gave him a target of 61.12 (when he added the height to the price of the top of the Gartley, X).